

How direct response advertising can increase your sales and profits

Even if your company has never used direct response, read what Ogilvy & Mather has learned from half a billion coupons

Ogilvy & Mather has created more than \$150,000,000 worth of direct response advertising—in mail and media—for the American Express Company, Burpee Seeds, Cessna Aircraft, Nationwide Insurance, Shell Oil, Sears, Roebuck and other clients.

In the process, we have learned that direct response advertising can help sell \$750,000 jet airplanes as well as 25¢ packets of flower seeds.

Here are a few of the ways Ogilvy & Mather uses this most *accountable* form of advertising as part of our clients' marketing programs. Some of them may be useful to you.

1. **Direct response can be your "secret weapon" in new product introductions.** Cessna Aircraft used direct mail in its introduction of "Citation," a new \$750,000 business jet. Ogilvy & Mather began mailings to a list of key corporate executives and their chief pilots long before the first "Citation" was in production.

Sales leads in response to these mailings helped "Citation" become the world's largest selling business jet in just one year.

2. **A remarkably efficient way to reach your best prospects.** Today Mercedes-Benz diesel engine cars sell well in America. But ten years ago, it was difficult to identify and reach the limited number of high-potential prospects for diesel cars.

Ogilvy & Mather compiled a list of people who matched the demographic profile of *existing* diesel car owners, then sent them an 8-page letter. As a direct result of the letter, Mercedes-Benz sold 716 diesel cars within eight weeks.

3. **How to land your most profitable new customers.** Ogilvy & Mather has developed special acquisition programs designed to acquire new credit customers for our clients on a highly selective basis.

These programs combine sophisticated list segmentation techniques with a remarkably precise formula that identifies the profitable customer; establishes his real value; and reveals how much should be spent to acquire him.

PRESENT VALUE FORMULA

$$PV = \int_0^5 (\alpha \pi \eta e^{-t/\lambda} - \alpha d e^{-t/\gamma} - \alpha C_0 e^{-t/\lambda}) e^{-\rho t} dt - Se^{-\rho L} - M - RC_p$$

This is an example of a "present value" economic model. This model—programmed with test results and appropriate up and downside risks—reveals the true cost of acquiring a new credit customer and predicts the net profit he will return over the next 5 years.

4. **How to build a bank of localized leads for your sales force.** The pinpoint accuracy of direct mail makes it the ideal medium for obtaining sales leads exactly where you need them most.

Our computerized "Commodity Futures List Bank" supplies localized leads to Merrill Lynch representatives from Saskatchewan to San Francisco.

5. **Direct response can make television dollars work harder.** Television commercials for American Express Credit Cards end with a request for a direct response by phone. This produces tens of thousands of applications for the Card.

Ogilvy & Mather has also improved response to direct mailings by timing mail drops to coincide with television advertising.

6. **Direct response is an indispensable element in successful travel advertising.** Direct response, in mail as well as other media, has proven to be a key ingredient in marketing travel.

The secret is to close the sale by mail—or to obtain a highly qualified lead—instead of wasting a fortune mailing expensive booklets and pamphlets.

Ogilvy & Mather coupon advertisements for Cunard have paid out four times over in immediate ticket sales.

A direct mail offer of free London theater tickets produced response rates as high as 26 percent for the British Tourist Authority.

7. **You can now sell high-ticket items direct by mail.** Today's ever-increasing distribution of credit cards has revolutionized marketing by mail.

Credit cards now make direct mail practical for selling sewing machines, calculators, color television sets and many other products costing hundreds, even thousands, of dollars.

As sales costs escalate, more and more manu-

How to capitalize on new profit opportunities in direct marketing.

Today, more and more major corporations are considering direct marketing in their search for new sources of profit.

It pays to look before you leap into this highly specialized business.

Ogilvy & Mather has found that the odds for success improve if you can use your own customer list and retail packages as an entrée into direct marketing.

One mail marketing business we helped develop now does fifty million dollars in annual sales.

facturers will turn to this new way of selling direct to the consumer.

Techniques that work best in direct response advertising

8. **Challenge dogma.** Ogilvy & Mather has found that it often pays to challenge dogma and test for breakthroughs. Our tests show that:

- An inexpensive offset letter can often out-pull a far more costly computer letters.
- "On-page coupon-envelopes" can be more cost efficient than expensive preprint inserts.
- An innovative letter can be more important to your success than a big, beautiful 4-color brochure.

Note: These examples are not offered to create new dogma but to emphasize that it *pays* to test.



This innovative "personal" letter from Peter Rich Tchakovsky—created from hundreds of letters actually written by the great composer—substantially increased response for a new record offer.

9. **How to make long copy succeed.** Tests show long copy usually, but not always, pulls more orders than short copy in direct response advertising.

Specifics are the key ingredient in successful long copy. Glittering generalities turn readers off. Beware of long copy that is lazy. Supply facts and figures. They impress the reader and help close the sale.

10. **The way you position your offer can double your response.** We recently split-run three new advertisements against a successful Burpee advertisement that featured a \$1 offer in the headline.

All three new advertisements improved

response. The one shown below increased results 112 percent.



Old.

New: 112 percent more response.

Reason: The new advertisement offered a free catalog—and clearly positioned Burpee as America's leading breeder of new flower and vegetable varieties for the home gardener.

11. **It pays to demonstrate.** Product demonstrations are not easy to do in direct mail. But they are worth the effort. They can be exceptionally effective.

Ogilvy & Mather's mailing for Cessna's "Citation" jet enclosed a recording that contrasted the "Citation's" low noise levels with competitive jets—and even an electric blender.

The record proved Cessna's case; words alone could only have made a claim.

12. **Asking the reader to quiz himself increases response.** Inviting readers to take a quiz involves them with your advertising.

This can pay handsome dividends, as this split-run test shows.

WHICH AD PULLED BEST?



The advertisement on the right invited the reader to quiz himself—as we are doing here by asking you to guess which ad pulled best. (The "quiz," of course, by 250 percent.)

13. **The "close" is crucial in direct response.** The reader who makes a mental note to "mail the coupon later" usually never does.

One survey showed that less than a third of the readers who *intended* to send in a coupon actually did so.

Ogilvy & Mather uses a four-point checklist to ensure that our copy does all it can to get the reader to tear out the coupon before he turns the page.

14. **The position of your advertisement can make the difference between profit and loss.** Tests show that the back page of a publication, or the back of one of its sections, can pull 150 percent better than inside pages.

PO3C—page opposite third cover in magazines—is another winning position. You can often buy it without paying a premium.

15. **New direct mail techniques.** The efficiency of mailings can be substantially improved through new techniques.

These techniques—"merge-purge," "hot-line" mailings, timing sequence—produce more response for every dollar invested.

16. **Separate the wheat from the chaff.** List segmentation concentrates your dollars where they will do the most good.

List segmentation—by both demographic and psychographic factors—becomes critical to profit as direct mail costs go up and up.

Take full advantage of computer technology and sophisticated segmentation procedures—zip code analyses and consumer criteria grids.

They now make it practical to single out your best prospects.

Separating the wheat from the chaff is the secret to successful direct mail.

17. **Pretesting copy can reduce costs and improve response rates.** Ogilvy & Mather's Research Department has developed inexpensive techniques that rank copy promises *before* mail or media testing.

This saves time and money—and increases your chances for success.

COPY PROMISES CAN VARY WIDELY IN APPEAL

Promise A
Promise F
Promise C
Promise D
Promise H
Promise B
Promise G
Promise E

"Promise Test" research ranks your selling points before mail or media testing. In the above example from an actual test the winning promise proved to be almost three times stronger than the weakest one.

18. **Success can be exported.** Ogilvy & Mather has found that direct response principles which work in the U.S. are frequently just as effective when applied abroad.

We export these principles to 57 Ogilvy & Mather offices in 30 countries, and coordinate international campaigns through New York.

Example: A series of new direct response advertisements and mailings, initiated in New York and carried out by our Paris office, tripled response for one of the leading book clubs in France.

19. **The most accountable form of advertising.** Claude Hopkins titled his famous book "Scientific Advertising."

He emphasized that coupon feedback makes direct response the most *accountable* form of advertising. It allows you to measure precisely what every dollar invested returns in sales and profits.

We use coupons and sales conversion rates to evaluate the specific contribution direct response advertising makes to our client's marketing programs. Results show direct response has increased sales and profits in almost every case.

An Invitation

Ogilvy & Mather's Direct Response Division employs three dozen people who specialize in this demanding discipline.

The body of our experience—which can only be hinted at in the space available here—is revealed in a slide presentation: "What Ogilvy & Mather has learned about direct response advertising and marketing."

To arrange a presentation, please mail the coupon today.

Ogilvy & Mather

Barry Blau, Managing Director
Ogilvy & Mather, Direct Response Division
2 East 48th Street, New York, New York 10017

I would like to arrange for a special presentation of "What Ogilvy & Mather has learned about direct response advertising and marketing."

Name _____
Company _____
Title _____
Address _____
City _____ State _____ Zip _____
Telephone _____

How Direct Response Advertising Ad by David Ogilvy
(<https://swiped.co/how-direct-response-advertising-ad-by-david-ogilvy>)
Swiped in March 2014
Ran 1974